

Adaptive Strategy and Strategic Learning: How Organizations Learn to Compete

Executive Summary

The most durable competitive advantage is not any particular position but the **ability to learn faster than competitors**. Under Active Inference, adaptive strategy is about continuously updating the organization's competitive model based on market feedback. This module covers strategic learning loops, adaptive advantage, the concept of dynamic capabilities (Teece), and how organizations build the capacity to evolve their strategy.

Learning Objectives

1. Define **strategic learning** as updating the competitive generative model from market feedback
 2. Apply **dynamic capabilities** (Teece) — sensing, seizing, and transforming
 3. Understand **adaptive advantage** — competing on learning speed rather than static position
 4. Design **strategic experimentation** programs that generate learning
 5. Analyze how **competitive feedback loops** drive strategy evolution
-

Key Concepts

1. Dynamic Capabilities (Teece)

Capability	Function	Active Inference Translation
Sensing	Identifying threats and opportunities	Perception — updating the competitive model
Seizing	Mobilizing resources to capture opportunities	Action — policy selection under the updated model
Transforming	Continuously reconfiguring the organization	Learning — updating the model itself, not just actions

2. Strategic Experimentation

Rather than betting everything on one strategic model, organizations can run experiments:

- **Probe and learn:** Small-scale market experiments that test assumptions cheaply
- **Portfolio of options:** Maintaining multiple strategic options while learning which is best
- **Fail fast:** Designing experiments to produce clear results quickly

Case Study — Google's Innovation Portfolio: Google maintains a portfolio of experiments at different scales — from small-scale "20% projects" to large bets like Waymo. This portfolio approach generates strategic learning: each experiment provides information that updates Google's model of future opportunities. The discipline is in killing experiments that don't pan out (Google Glass, Google+) rather than escalating commitment.

3. Competitive Learning Loops

The speed of the competitive learning loop determines how quickly a firm can adapt:

Sense market → Update model → Select strategy → Execute → Observe results

Organizations with faster loops (shorter cycle time, better feedback mechanisms, less organizational inertia) outcompete those with slower loops — even if the slower organization has more resources.

4. Unlearning and Strategic Renewal

Sometimes the biggest barrier to strategic learning is the organization's existing successful model. Unlearning requires:

- Acknowledging that a previously successful strategy is no longer viable
- Actively dismantling processes and beliefs that support the old model
- Creating space for new models to be explored

Cross-References

- For organizational learning, see [Organizational Systems: Learning](#)
- For collective memory, see [Collective Intelligence: Learning](#)
- For ML model retraining, see [Digital Transformation: Learning](#)

Summary

Concept	Strategic Modeling Meaning
Strategic learning	Updating the competitive model from market feedback
Dynamic capabilities	Sensing + seizing + transforming
Strategic experimentation	Running experiments to test strategic assumptions
Competitive learning loops	Sense → update → act → observe cycle speed
Strategic unlearning	Dismantling obsolete models to make room for new ones

References

- Teece, D. J. (2007). Explicating dynamic capabilities. *Strategic Management Journal*, 28(13), 1319–1350.
- McGrath, R. G. (2010). Business models: A discovery driven approach. *Long Range Planning*, 43(2-3), 247–261.